Luca can fund its next growth leap from operations; the plan's real risk is execution

LUCA AT A GLANCE

AI-enabled K–12 learning platform for Latin America

Curriculum-aligned short video lessons, practice and teacher analytics, sold to schools as SaaS. One of Mexico's fastest-growing EdTechs.

STAGE

Post-Series A · $1.5M monthly revenue ($18M ARR run-rate) · growing 6% MoM (≈2× a year)

AMBITION

Unicorn within 7 years; expand beyond Mexico to the rest of LatAm and then globally.

MY ROLE AS CHIEF OF STAFF

Turn the plan into an operating system: financial visibility, scalable processes, disciplined hiring and compliant international operations.

What the board needs to know

GROWTH

$1.5M → $2.85M monthly revenue

$25.3M revenue over 12 months; exit ARR run-rate ≈ $34M.

PROFITABILITY

54% EBITDA margin, $11.3M cash by M12

Every month is cash-positive on the case cost base. Gross margin slips 65% → 60% (≈$712k of gross profit forgone).

HIRING

25 hires in M1–M6: 10 senior, 15 junior

Leaders first, then juniors. 10 of the 25 go to content production; people cost runs at $121k/month from M6.

LOAN

Recommendation: do not draw the €500k term loan

Runway is not the constraint: cash never falls below $3.6M. Negotiate an undrawn USD/MXN standby line for collection shocks instead.

WATCH

Gross margin and cash collections

Each 1 pt of GM = $28k/month by M12. Receivables absorb $2.0M of cash as schools pay at 45 days.

Revenue nearly doubles and every month generates cash; COGS, not headcount, drives cost

REVENUE TRAJECTORY

$1.5M → $2.85M

+6% MoM compound · $25.3M over 12 months

GROSS MARGIN TREND

65% → 60%

Linear compression · $712k gross profit lost vs. flat 65%

MONTHLY BURN

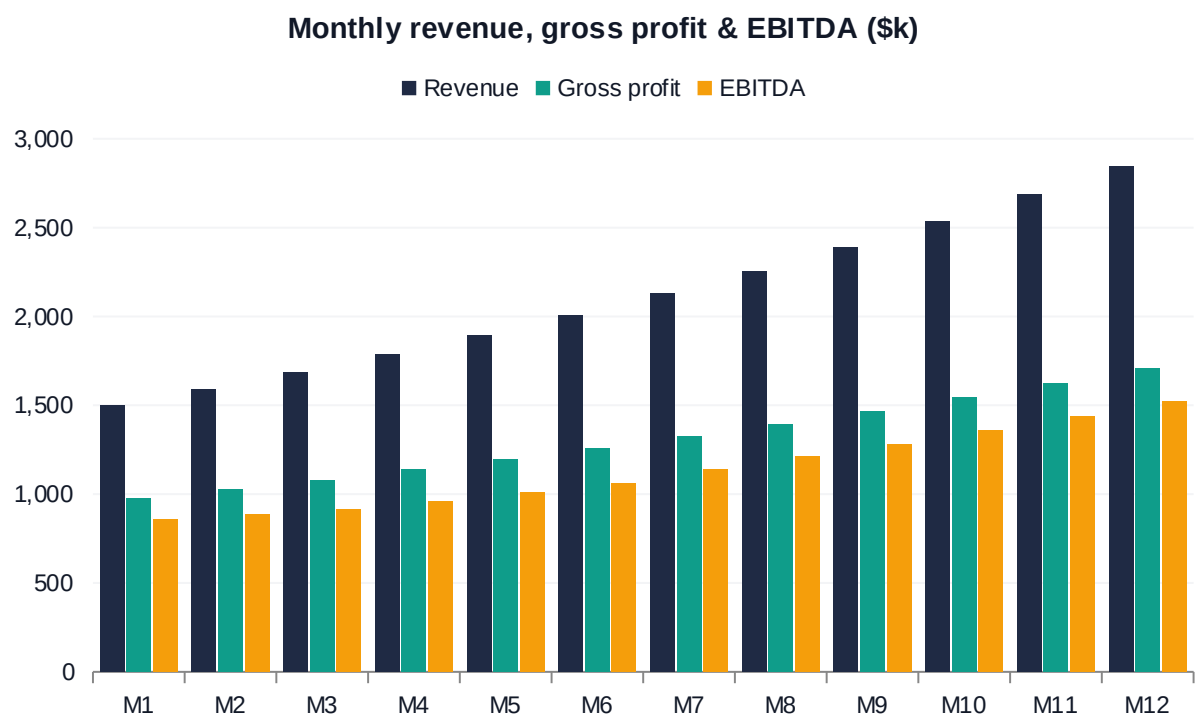
None: cash-positive

Free cash flow +$593k (M1) → +$926k (M12)

RUNWAY

Self-funding

Cash $3.0M → $11.3M without loan; $11.7M with it



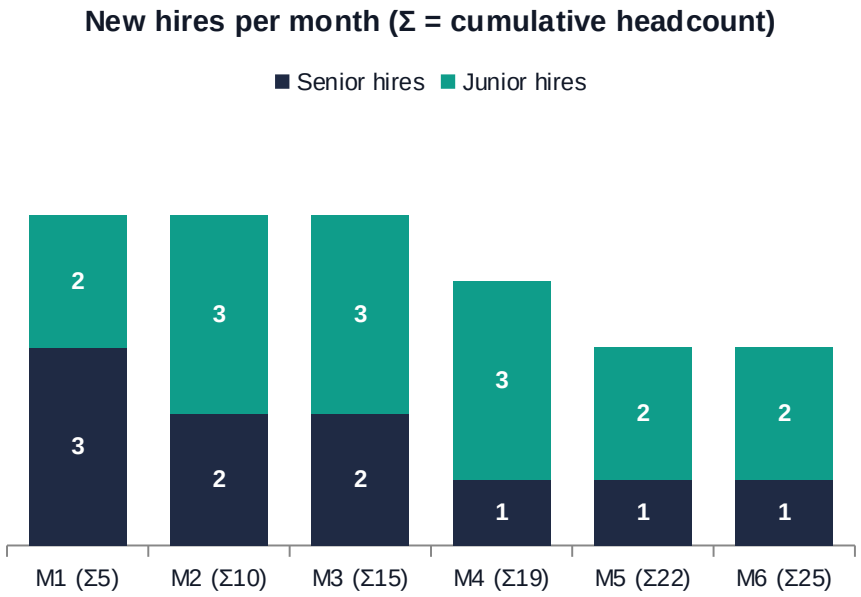
Main cost drivers and how they evolve

Cost line	M1	M12	12m total	Share	M1→M12
COGS (delivery, hosting, content)	$525k	$1,139k	$9.57M	82%	+117%
People (salary + 15% benefits + hiring)	$58k	$121k	$1.35M	12%	+110%
Overhead (+15% linear)	$40k	$46k	$0.52M	4%	+15%
G&A / Legal (fixed)	$20k	$20k	$0.24M	2%	+0%

- **COGS is 82% of all costs** and more than doubles (+117%) as revenue grows and margin compresses. Unit cost of content and delivery is the lever that matters most.
- **Headcount is a small share of the P&L**: the 25 hires cost $1.35M in year 1. They are spread over M1–M6, so people cost peaks in M6 ($139k) and then stays flat.
- **Cash conversion ≈ 61% of EBITDA**: $4.1M corporate tax (30%) and $2.0M of receivables build-up are the biggest uses of cash.

3 · RECOMMENDED HIRING PLAN

25 hires front-loaded to M1–M3: leaders first, then juniors where production is constrained



Function	Hires (S/J)	Timing	Operational capacity it unlocks
Content & Curriculum	10 (2/8)	M1–M6	Head of Content Ops + Curriculum Lead + 8 creators (script, motion, design, Synthesia, sound, QA) sized to the 30 videos/week target
Sales & Partnerships	4 (2/2)	M1–M4	2 AEs (Mexico + first expansion market) + 2 SDRs to keep up 6% MoM new-logo growth
Customer Success	5 (1/4)	M2–M6	Head of CS + 4 associates / implementation: onboarding and renewals keep pace as the school base roughly doubles
Product & Engineering	3 (3/0)	M1–M5	AI/backend + full-stack engineers + PM: AI content tooling to cut cost per video and protect gross margin
Finance, Legal & Ops	3 (2/1)	M2–M6	FP&A, BI analyst, international legal & compliance: close, cash forecasting, entity set-up
Total	**25 (10/15)**	**M1–M6**	**New-plan headcount 5 → 25 by M6**

Why this shape

- **Seniors early (8 of 10 by M4)** to set up processes and onboard the juniors who follow.
- **About 5 hires a month** is the most we can onboard well; it slows to 3 a month once M4 leaders are in.
- **60% junior** keeps the average cost at $4.8k per head and creates a pipeline for promotions.

PEOPLE COST M1
$58k

RUN-RATE FROM M6
$121k/mo

ONE-OFF HIRING COST
$150k

RUN-RATE AS % OF M12 REVENUE
4.2%

To make the plan realistic we need a hiring engine, one source of truth, and spend & cash controls

PROCESSES

- **Before M1** — **Hiring engine**: role scorecards, structured interviews, weekly pipeline review. Target ≤45 days to hire; 5 roles open at any time.
- **Before M1** — **30-60-90 onboarding**: every junior gets a senior buddy, and goals are set in week 1.
- **By M2** — **Monthly close in 10 working days**, plus a rolling 13-week cash forecast and a monthly board KPI pack.
- **By M2** — **Collections cadence**: invoice on day 1, reminders at 30/45/60 days, escalation at 75 days. Receivables are the biggest use of cash.

SYSTEMS

- **Before M1** — **HRIS + payroll** for Mexico; an Employer of Record (EOR) for first hires abroad; ATS to track hiring funnels.
- **By M2** — **Finance stack**: accounting/ERP with Mexican e-invoicing (CFDI/SAT) and multi-currency, ready for new entities.
- **By M3** — **CRM as the revenue source of truth** (pipeline → bookings → billing) feeding a weekly BI dashboard.
- **By M2** — **Content production tracker** with stage SLAs and WIP limits, plus AI tooling (see Execution deck).

CONTROLS

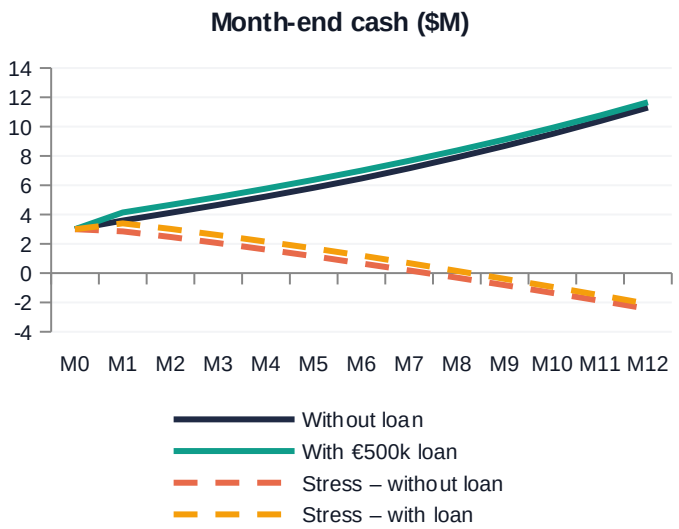
- **Before M1** — **Headcount gate**: hire only against the approved 25-role plan. Any change needs CEO + CoS sign-off and a P&L impact note.
- **Before M1** — **Delegation-of-authority matrix**: spend approvals by threshold; dual sign-off on payments; monthly vendor review.
- **Monthly** — **Gross margin guardrail**: track COGS per student and cost per video. If GM is below plan for 2 months, run a cost review.
- **By M6** — **International compliance**: entity and tax set-up, transfer pricing, data protection for minors (Mexican LFPDPPP, Brazilian LGPD, GDPR).

Owner model: CoS runs the operating cadence (weekly leadership KPIs, monthly business review, quarterly board pack). Each function head owns their hiring, budget and SLAs. FP&A (hire #6, M2) owns the model and the 13-week cash view.

Don't draw the €500k loan: it barely moves runway and adds FX risk. Watch margin and collections

RECOMMENDATION

Decline the €500k term loan as structured; negotiate an undrawn USD/MXN standby facility instead



Runway	No loan	With loan
Base	Self-funding	Self-funding
Downside	Self-funding	Self-funding
Stress	7.4 mo	8.3 mo

Even under Stress, the loan buys only **+0.9 months**. It does not fix a structural burn.

Base plan can absorb **$1.25M/month** of extra fixed cost before cash runs out.

- **Runway:** cash never drops below $3.6M without the loan; free cash flow is positive in all 12 months.
- **Cost:** $43k interest over 24 months. Net cash at M12 is $21k lower with the loan, and $372k of debt is still owed at M12.
- **Risk:** a EUR liability against MXN/USD revenue. A +0.10 move in EUR/USD adds ≈$54k to repayments. Lenders may also impose covenants and reporting.
- **Flexibility:** a committed but undrawn line covers the real risk (collection delays) without paying interest. Revisit if we open EUR-cost markets, where EUR debt would be a natural hedge.

Two risks leadership should monitor monthly

1 Gross margin compression outpacing plan

- Plan already assumes 65% → 60%. Each extra 1 pt lost costs ≈$28k/month by M12.
- **KPIs:** monthly GM %, COGS per active student, cost per finished video, hosting per user.
- **Trigger:** GM below plan for 2 months running → cost review: vendor renegotiation, AI tooling for content, pricing.

2 Collections and quality of growth

- Receivables grow by $2.0M even at 45 days. If schools slip to 90 days, receivables double: ≈$4.3M more cash tied up at M12 revenue.
- **KPIs:** DSO, % of AR over 60 days, MoM growth, pipeline coverage (3× next quarter), logo churn.
- **Trigger:** DSO above 60 days, or growth below 4% for 2 months → pause M5–M6 hires and activate the standby line.

Also validate before the board: the case cost base excludes Luca's existing team (see Stress).